

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (22 marks – approximately 40 minutes)

ABC Limited is an established operator of residential care homes for the elderly in Hong Kong. The operations of ABC Limited are subject to various laws and regulations which mainly relate to, among others, the requirements for licensing, operation, management, and supervision of care and attention homes, and registration of health workers in Hong Kong.

ABC operations have to comply with certain other laws and regulations, such as building safety, fire safety, labour, physiotherapists, registered nurses, dealing in and storage of pharmaceutical products, and dangerous drugs in order to renew its license to operate.

During the audit for the year ended 31 December 2020, the auditors found that there were instances where ABC Limited failed to comply with certain applicable laws and regulations in Hong Kong.

Required:

- (a) The entire board of directors is elected to represent the company and its shareholders. List the directors' responsibilities in general. (8 marks)
- (b) Explain how this non-compliance with laws and regulations can affect the financial statements of ABC Limited. (2 marks)
- (c) List the audit procedures when non-compliance with laws and regulations is identified or suspected. (5 marks)
- (d) Control environment has been considered the most important component of internal control setting of an organisation. List the SEVEN elements of the control environment that auditors have to understand for the evaluation of the internal control of ABC Limited. (7 marks)

Question 2 (25 marks – approximately 45 minutes)

On 2 February 2021, Jenny Wong, an audit partner of a reputable audit firm, ADE & Co, was approached by the managing director, Tom Wong, who is also the major shareholder of a new audit client, HQ Mask Limited ("HML"), to discuss the audit engagement. HML was incorporated in January 2020. HML runs a small business with one factory in Hong Kong for masks manufacturing and the wholesaling of masks. HML ordered mask production machines and equipment from Mainland China in February 2020. Due to the high demand of mask production line machines during that period, the purchase price was exceptionally high. However, Tom Wong had confidence in the sales of Hong Kong manufactured masks in Hong Kong, thus HML bought the mask production line machines and the packing machines. The arrival of the machines was in early April 2020. Unluckily, the quality of the machines was poor. All the machines did not function properly. Tom Wong has a friend who is an engineer, Jack Li, who spent one month adjusting the machinery of the mask production line. After this adjustment, the production line worked as expected. No machine has been disposed of and all have been recorded in the accounting system. The company adopted a cost model to account for the machineries. The company started production in May 2020. HML is facing keen competition and there are few purchase orders from customers due to their price, which is higher than those of masks produced from Mainland China due to the high production cost. HML is now running at a loss. HML leased from a landlord an industrial property as its factory for a five-year term which was effective from 1 January 2020. HML kept a large amount of inventory, face masks, which have an expiry period of three years.

Required:

- (a) List the terms of the audit engagement that shall be recorded in an audit engagement letter.

(4 marks)

- (b) In the case of audit engagements, it is required by the HKICPA's Code of Ethics that members of audit teams, firms, and network firms shall be independent of audit clients.

Describe the conceptual framework approach required by the HKICPA's *Code of Ethics*.

(3 marks)

- (c) Determine the inherent risk of misstatement of the lease liability with explanation.

(3 marks)

- (d) Determine the audit approach for the audit of lease liability of HML with explanation.
(3 marks)
- (e) Determine the inherent risk of misstatement of the machineries included in property, plant, and equipment with explanation.
(3 marks)
- (f) Determine the audit approach for the audit of machineries of HML with explanation.
(3 marks)
- (g) Determine the business risk and inherent risk of misstatement of the inventory with explanation.
(6 marks)

Question 3 (18 marks – approximately 32 minutes)

Local Holdings Limited ("LHL") is a Hong Kong based trading company that has many overseas subsidiaries. Trading Abroad Limited ("TAL"), being a 100% owned subsidiary of LHL, is located in Australia and is audited by a local audit firm. LHL is audited by ABC & Co, which is the principal auditor of the group located in Hong Kong.

TAL is a significant component of the group and the accounts receivable of TAL is considered a significant asset of the group. ABC & Co decided to give detailed audit procedures in the group audit instructions document for the local auditor of TAL to follow.

Required:

- (a) Explain the objectives of ABC & Co in relation to the audit of a group.
(6 marks)
- (b) In addition to classification and presentation, list and explain FOUR other assertions for auditing accounts receivable.
(4 marks)
- (c) Determine the possible audit procedures for the accounts receivable of TAL.
(8 marks)

Question 4 (15 marks – approximately 27 minutes)

You are the audit manager of PQY & Co, the external auditor of Luxury Jewellery Limited ("LJL") for the year ended 31 December 2020. LJL is a manufacturer and wholesaler of precious jewellery.

The accounts receivable is a significant account balance in the company's statement of financial position. The management does not allow the audit team to request external confirmation of several accounts receivable because there are lawsuit cases between LJL and its customers. You considered that the possible effects on the financial statements of undetected misstatements are not immaterial.

Required:

- (a) List the contents to be included in the auditor's responsibilities section in the auditor's report. (8 marks)
- (b) Management does not allow the audit team to request external confirmation of several accounts receivable. List potential types of modified audit opinions and the nature of matter giving rise to the modifications. (4 marks)
- (c) For this part only: assume the effect of misstatements of accounts receivable on the financial statements is material but not pervasive and there are no other major misstatements found in the audit of the financial statements. State the type of audit opinion and the essential elements that would be included in the basis for opinion section. (3 marks)

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